Jiangxi University of Finance and Economics

Balanced Scorecard and Business Model Canvas Report

Luckin Coffee Inc.

A Technology-Driven New Retail Coffee Enterprise

IK2015: Enterprise Architecture and Database Programming

Seminar 2

Group 4

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1 Report Basic Information

Table 1: Basic information of the selected case enterprise.

Item	**Information**
Selected enterprise / business	Luckin Coffee Inc.; technology-enabled coffee retail, pickup, delivery, and packaged coffee business.
Course and seminar	IK2015 Enterprise Architecture and Database Programming; Seminar 2.
Group number	Group 4.
Group members	Zhe-Kai Yang (Krust), Shi-Hang Chen (Sean), Wei-Yu Cai (Nosta), Huan-Wen Chen (Evan), Yuan-Yong Liao (Foreve).
Analytical frameworks	Balanced Scorecard and Business Model Canvas.

Luckin Coffee is selected as the case enterprise because its business model combines physical store operations, mobile-first ordering, digital payment, delivery coordination, franchise-style partnership stores, supply chain integration, and data-driven customer relationship management. The company is therefore a suitable object for enterprise architecture analysis: strategic objectives, operational processes, information systems, and measurable performance indicators are tightly coupled in its daily business activities.

2 Case Enterprise Snapshot

Luckin Coffee Inc. was founded in 2017 and is headquartered in Xiamen, China. Its strategic positioning differs from the traditional premium café model: rather than relying primarily on store ambience and long in-store consumption time, Luckin emphasises affordable products, dense store coverage, mobile ordering, rapid pickup, and delivery convenience. According to its public filings and investor disclosures, Luckin's corporate mission is "to create lucky moments and inspire," while its vision is "to build a world-class coffee brand and become a part of everyone's daily life" [2]. This mission is closely aligned with a mass-market coffee strategy in which coffee is treated as a daily routine product rather than an occasional luxury.

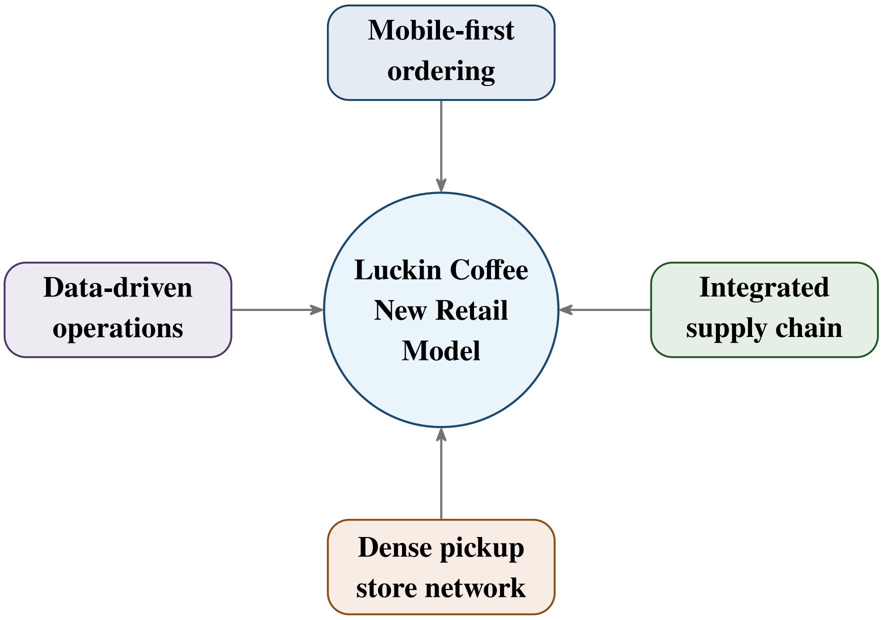

Figure 1: Strategic logic of Luckin Coffee's new retail model.

The enterprise reported rapid growth in recent years, supported by a hybrid network of self-operated stores and partnership stores. Its revenue model combines direct sales from self-operated stores with franchise-related income, raw material and equipment sales, delivery charges, and packaged coffee sales [2, 1]. The following sections translate this business logic into two complementary frameworks: the Balanced Scorecard and the Business Model Canvas.

3 Balanced Scorecard Analysis

The Balanced Scorecard translates strategy into a structured set of missions, objectives, and performance measures across four perspectives: financial, customer, internal process, and learning and growth. For Luckin Coffee, these perspectives are mutually reinforcing. Financial performance depends on customer retention and store productivity; customer experience depends on fast digital ordering and stable product quality; internal processes depend on integrated systems and supply chain discipline; and long-term growth depends on product innovation, employee capability, and data infrastructure.

3.1 Strategy Map

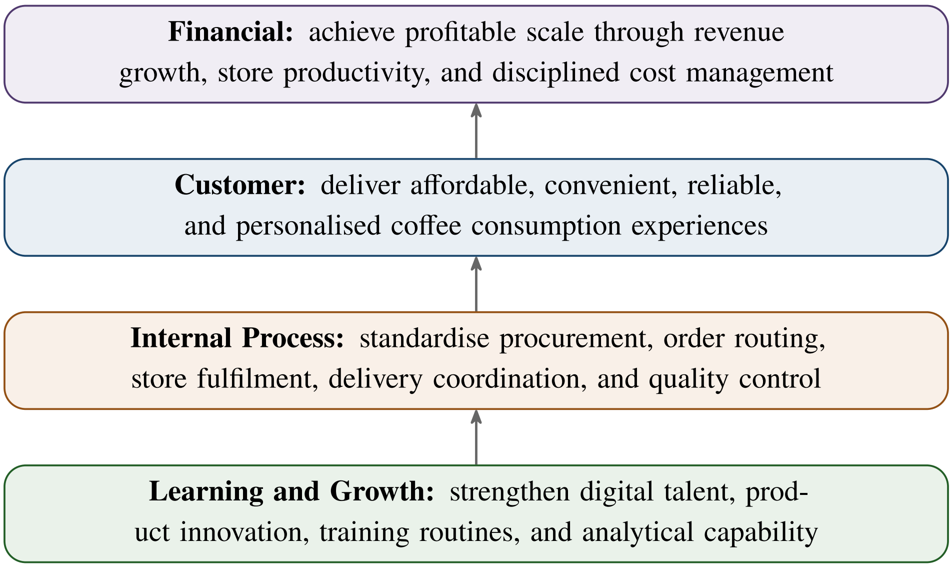

Figure 2: Balanced Scorecard strategy map for Luckin Coffee.

3.2 Balanced Scorecard Table

Table 2: Balanced Scorecard for Luckin Coffee.

Perspective	Mission	Objectives	Measures
Financial	Build a scalable and profitable coffee retail platform while maintaining affordability for mass-market customers.	1. Increase total net revenue through store expansion, higher purchase frequency, and packaged coffee sales. 2. Improve store-level profitability by balancing self-operated control with partnership-store expansion. 3. Maintain cost discipline in raw materials, rent, labour, logistics, and promotional spending.	1. Total net revenue and year-on-year revenue growth rate. 2. Operating income and operating margin. 3. Same-store sales growth and average order value. 4. Revenue split between self-operated stores, partnership stores, delivery, and packaged products.
Customer	Make coffee a convenient, affordable, and habitual part of everyday life for urban consumers.	1. Increase customer retention and repeat purchase frequency through digital membership and targeted promotions. 2. Improve perceived convenience through fast pickup, reliable delivery, and dense store coverage. 3. Strengthen brand trust by ensuring stable taste, quality, hygiene, and service consistency.	1. Monthly average transacting customers and active membership users. 2. Repeat purchase rate and customer lifetime value. 3. Average pickup time, delivery completion time, and order cancellation rate. 4. Customer rating, complaint rate, and net promoter score.
Internal Processes	Operate a tightly integrated digital-to-physical value chain from demand forecasting to store fulfilment.	1. Standardise procurement, production, fulfilment, and quality-control routines across self-operated and partnership stores. 2. Use data systems to improve demand forecasting, inventory replenishment, and labour scheduling. 3. Reduce operational friction in app ordering, payment, order routing, and after-sales feedback.	1. Inventory turnover, stockout rate, and raw material wastage rate. 2. Order fulfilment accuracy and average preparation time. 3. Store audit pass rate and product quality consistency indicators. 4. System uptime, app transaction success rate, and order-routing error rate.
Learning and Growth	Develop organisational capabilities that support rapid innovation, digital operations, and sustainable expansion.	1. Improve employee training, standard operating procedure compliance, and store-manager capability. 2. Accelerate product innovation by using sales data, consumer feedback, and regional taste preferences. 3. Strengthen data governance, analytics capability, and technology platform resilience.	1. Training completion rate, employee productivity, and employee turnover rate. 2. Number of new products launched, new-product success rate, and product iteration cycle time. 3. Data accuracy, dashboard adoption, and analytics-supported decision rate. 4. IT investment intensity and critical incident resolution time.

The proposed indicators are designed to be measurable, operationally meaningful, and strategically aligned. For example, monthly transacting customers and repeat purchase rate connect directly to the customer perspective, but they also influence financial outcomes. Similarly, app uptime and order-routing accuracy belong to the internal process perspective, yet failures in these areas would immediately damage customer experience and revenue conversion. This interdependence reflects the core logic of the Balanced Scorecard: performance management should not be reduced to short-term financial accounting, but should connect financial results to the drivers that produce them.

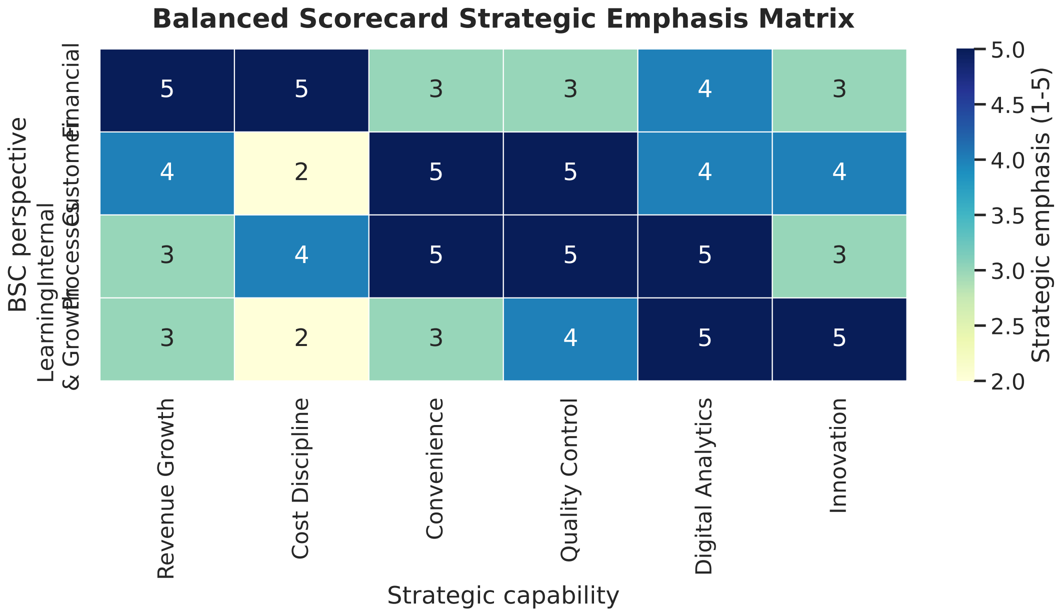

Figure 3: Analytical heatmap of strategic emphasis across the Balanced Scorecard. Scores are qualitative assessments derived from the Luckin Coffee case analysis.

The heatmap makes the strategic pattern more visible. Financial performance is most strongly associated with revenue growth and cost discipline; customer performance is most strongly associated with convenience and quality control; internal processes depend heavily on fulfilment reliability and digital analytics; and learning and growth is driven primarily by innovation and data capability. This pattern is consistent with Luckin's technology-enabled retail logic, where digital infrastructure supports both operational control and market responsiveness.

4 Business Model Canvas

The Business Model Canvas provides a compact view of how Luckin Coffee creates, delivers, and captures value. In this case, the central value proposition is not merely "coffee," but digitally enabled convenience: customers can choose products, receive promotions, pay, and decide between pickup and delivery through a mobile interface. The canvas below maps this logic into the nine standard components.

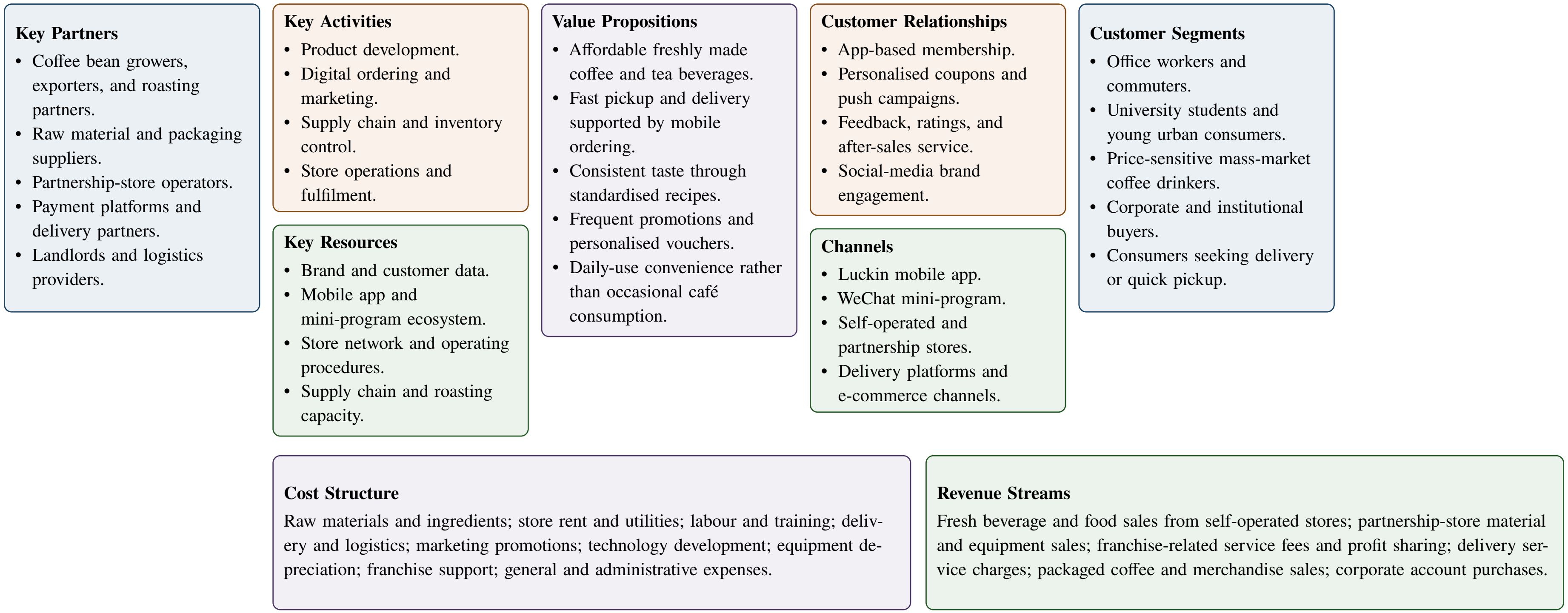

Figure 4: Business Model Canvas for Luckin Coffee.

4.1 Interpretation of the Canvas

Luckin's business model can be interpreted as a platform-enabled retail system. Its physical stores are not isolated sales outlets; they are fulfilment nodes connected to a digital demand-generation and data-collection platform. The app and mini-program channels lower transaction friction, while the store network provides spatial proximity to customers. At the same time, customer data allows the company to design personalised promotions, forecast demand, evaluate new products, and refine site-level operations.

The canvas also reveals several strategic tensions. First, affordability and frequent promotions support customer acquisition, but they may compress margins if not controlled by data-driven pricing and supply chain efficiency. Second, rapid expansion through partnership stores increases geographic coverage, but it raises the difficulty of maintaining product quality, hygiene, and brand consistency. Third, the digital operating model provides strong analytical capability, but it also makes system reliability and data governance central to business continuity. These tensions explain why the Balanced Scorecard should monitor not only financial outcomes, but also process reliability, customer trust, and organisational learning.

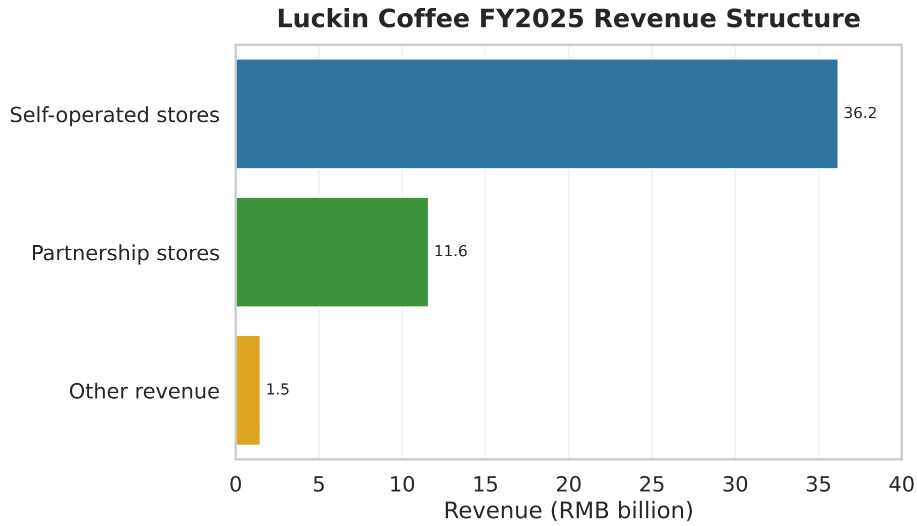

Figure 5: Luckin Coffee FY2025 revenue structure. Source: Luckin Coffee FY2025 public disclosures [2, 1].

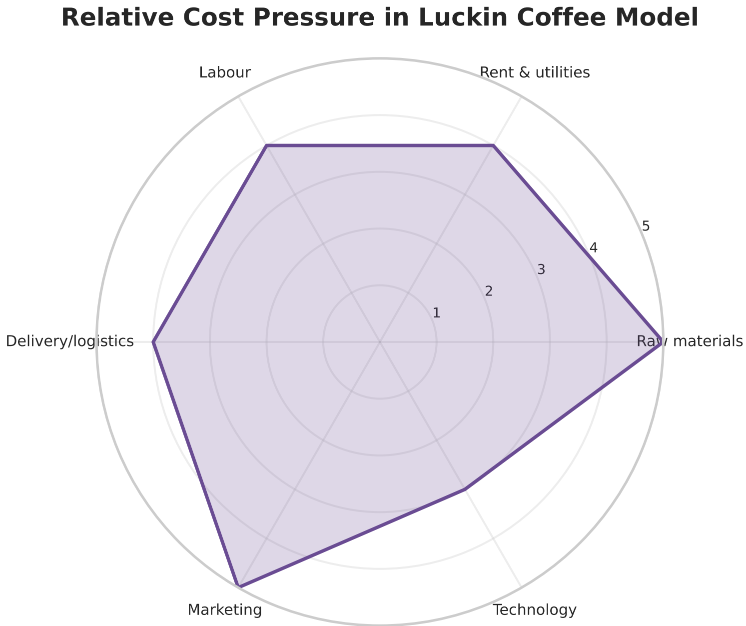

Figure 6: Relative cost-pressure profile of Luckin Coffee's business model. Scores are qualitative assessments derived from case analysis.

The revenue chart highlights the centrality of self-operated stores, which remain the main revenue source and preserve operational control over brand experience and data capture. Partnership-store revenue, however, is strategically important because it supports asset-lighter geographic expansion. The cost-pressure profile shows why operational efficiency is central to the model: raw materials, promotional spending, delivery logistics, rent, and labour all interact with Luckin's affordability promise.

5 Conclusion

The Balanced Scorecard and Business Model Canvas show that Luckin Coffee's competitive advantage is rooted in the alignment of strategy, technology, operations, and customer behaviour. Its financial mission depends on profitable scale; its customer mission depends on convenience and affordability; its internal process mission depends on standardised and data-integrated operations; and its learning and growth mission depends on continuous product innovation, employee capability, and digital infrastructure. The Business Model Canvas further demonstrates that Luckin captures value through a hybrid revenue structure while delivering value through a mobile-first, store-based fulfilment model. Together, the two frameworks provide a coherent basis for subsequent enterprise architecture modelling and database design work.

References

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[3] Kaplan, R. S., & Norton, D. P. (1992). *The Balanced Scorecard: Measures That Drive Performance*. Harvard Business Review, 70(1), 71–79.

[4] Osterwalder, A., & Pigneur, Y. (2010). *Business Model Generation: A Handbook for Visionaries, Game Changers, and Challengers*. John Wiley & Sons.